

The Dow Theory

William Peter Hamilton

An English economist whose unaffected humanity always made him remarkably readable, the late William Stanley Jevons, propounded the theory of a connection between commercial panics and spots on the sun. He gave a series of dates from the beginning of the seventeenth century, showing an apparent coincidence between the two phenomena. It is entirely human and likable that he belittled a rather ugly commercial squeeze of two centuries ago because there were not then a justifying number of spots on the sun. Writing in the *New York Times* early in 1905, in comment on the Jevons theory, I said that while Wall Street in its heart believed in a cycle of panic and prosperity, it did not care if there were enough spots on the sun to make a straight flush. Youth is temerarious and irreverent. Perhaps it would have been more polite to say that the accidental periodic association proved nothing, like the exact coincidence of presidential elections with leap years.

CYCLES AND THE POETS

Many teachers of economics, and many business men without pretension even to the more modest title of student, have